



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2134: critical infrastructure; foreign adversaries; prohibition

KUPPER FLOOR AMENDMENT

1. Removes the requirement for the Corporation Commission (Commission) to produce a map of Arizona that details geographic areas serviced by critical communications infrastructure and where equipment that is manufactured by Chinese companies are located.
2. Changes technology to equipment.
3. Removes requirements from the Commission to inspect all critical infrastructure and equipment or conduct continuous monitoring or universal physical inspections and states the Commission will implement a risk-based oversight program that includes the following:
 - a. a requirement that each government entity and critical infrastructure has completed a self-certification;
 - b. randomized audit conducted on a statistically significant sample of critical infrastructure service providers and critical communication infrastructure providers each year;
 - c. a targeted audit if there is a creditable intelligence complaint, federal advisory or identified risk presented;
 - d. a provision to rely on determinations, advisories or prohibition that are issued by a federal agency with national security, cybersecurity or communications equipment in the nation; and
 - e. safe harbor protections for critical infrastructure service providers and critical infrastructure providers that rely on manufacture certification and supply-chain disclosures if there are no evidence of misrepresentation.
4. Excludes passenger vehicles from transportation systems and services.
5. Alters the agreement or contract process that is granted by the Commission.
6. States that the Department of Emergency and Military Affairs (DEMA) will establish a secure and dedicated communications channel for critical infrastructure providers and military installations across Arizona.

KUPPER FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2134
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.
~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 18, chapter 1, article 1, Arizona Revised
3 Statutes, is amended by adding section 18-105, to read:

4 18-105. Software; critical infrastructure; critical
5 communications infrastructure; annual prohibited
6 equipment list; definitions

7 A. ANY SOFTWARE THAT IS USED FOR CRITICAL INFRASTRUCTURE IN THIS
8 STATE MAY NOT BE PRODUCED BY A CHINESE COMPANY.

9 B. ON OR BEFORE JANUARY 1 OF EACH YEAR, IF A CRITICAL
10 COMMUNICATIONS INFRASTRUCTURE PROVIDER IS A PARTICIPANT IN THE SECURE AND
11 TRUSTED COMMUNICATIONS NETWORKS REIMBURSEMENT PROGRAM PURSUANT TO
12 47 UNITED STATES CODE SECTION 1601, THE CRITICAL COMMUNICATIONS
13 INFRASTRUCTURE PROVIDER SHALL CERTIFY TO THE CORPORATION COMMISSION ANY
14 INSTANCE OF PROHIBITED CRITICAL COMMUNICATIONS INFRASTRUCTURE EQUIPMENT
15 USE, ALONG WITH THE GEOGRAPHIC COORDINATES OF THE AREAS SERVED BY THE
16 PROHIBITED EQUIPMENT. IF THE CRITICAL COMMUNICATIONS INFRASTRUCTURE
17 PROVIDER IS CERTIFIED BY THE CORPORATION COMMISSION, THE CRITICAL
18 COMMUNICATIONS INFRASTRUCTURE PROVIDER SHALL SUBMIT A STATUS REPORT TO THE
19 CORPORATION COMMISSION AT THE SAME TIME THAT ANY REPORT IS SENT TO THE
20 FEDERAL GOVERNMENT IN COMPLIANCE WITH THE SECURE AND TRUSTED
21 COMMUNICATIONS NETWORKS REIMBURSEMENT PROGRAM PURSUANT TO THIS SUBSECTION.
22 ~~[EACH QUARTER, THE CORPORATION COMMISSION SHALL PRODUCE A MAP OF THIS~~
23 ~~STATE THAT DETAILS THE GEOGRAPHIC AREAS SERVICED BY CRITICAL~~
24 ~~COMMUNICATIONS INFRASTRUCTURE AND THAT INCLUDES AREAS WHERE EQUIPMENT THAT~~
25 ~~IS MANUFACTURED BY A CHINESE COMPANY IS LOCATED.]~~

1 C. ANY CRITICAL COMMUNICATIONS INFRASTRUCTURE PROVIDER THAT
2 REMOVES, DISCONTINUES OR REPLACES ANY EQUIPMENT THAT IS PROHIBITED BY THIS
3 SECTION IS NOT REQUIRED TO OBTAIN AN ADDITIONAL PERMIT FROM ANY STATE
4 AGENCY OR POLITICAL SUBDIVISION OF THIS STATE FOR THE REMOVAL,
5 DISCONTINUANCE OR REPLACEMENT OF THE PROHIBITED EQUIPMENT.

6 D. A GOVERNMENTAL ENTITY OR A CRITICAL INFRASTRUCTURE SERVICE
7 PROVIDER IN THIS STATE MAY NOT ENTER INTO OR RENEW A CONTRACT WITH A
8 CHINESE COMPANY IF THE CONTRACT PROVIDES THE CHINESE COMPANY WITH DIRECT
9 OR INDIRECT ACCESS TO THE CRITICAL INFRASTRUCTURE.

10 E. ON OR BEFORE MARCH 31, 2027 AND EACH YEAR THEREAFTER, EACH
11 GOVERNMENTAL ENTITY AND CRITICAL INFRASTRUCTURE SERVICE PROVIDER IN THIS
12 STATE SHALL CERTIFY TO THE CORPORATION COMMISSION THAT THE PROVIDER HAS
13 NOT ATTACHED TO THE CRITICAL INFRASTRUCTURE OR CONNECTED TO ANY OPERATING
14 SYSTEM THAT IS USED BY THE CRITICAL INFRASTRUCTURE SERVICE PROVIDER ANY
15 ADDITIONAL ~~[TECHNOLOGY]~~ [EQUIPMENT] THAT IS PROHIBITED BY THE CORPORATION
16 COMMISSION AND THAT WAS NOT IN USE IN THIS STATE BEFORE THE EFFECTIVE DATE
17 OF THIS SECTION.

18 F. ON OR BEFORE DECEMBER 31, 2026 AND EACH YEAR THEREAFTER, THE
19 CORPORATION COMMISSION SHALL PUBLISH A LIST OF ALL ~~[TECHNOLOGIES]~~
20 [EQUIPMENT] THAT ~~[ARE]~~ [IS] PROHIBITED PURSUANT TO THIS SECTION FROM BEING
21 ATTACHED TO CRITICAL INFRASTRUCTURE OR CONNECTED TO THE OPERATING SYSTEM
22 THAT IS USED BY THE CRITICAL INFRASTRUCTURE AND SHALL POST THE LIST ON THE
23 CORPORATION COMMISSION'S WEBSITE. THE LIST MUST INCLUDE, AT A MINIMUM,
24 ANY WI-FI ROUTER AND MODEM SYSTEM, ANY CAMERA-BASED SCHOOL BUS INFRACTION
25 DETECTION SYSTEM, SPEED DETECTION SYSTEM, TRAFFIC INFRACTION DETECTOR
26 SYSTEM AND OTHER CAMERA SYSTEM, BATTERY TECHNOLOGY OR SMART METER
27 TECHNOLOGY, SOLAR INVERTERS AND ANY PRODUCT THAT CONTAINS CELLULAR
28 INTERNET-OF-THINGS MODULES THAT ARE PRODUCED BY A CHINESE COMPANY.

29 G. EXCEPT AS PROVIDED IN SUBSECTION H OF THIS SECTION, IF MONIES
30 ARE APPROPRIATED AND DISTRIBUTED TO FACILITATE THE REMOVAL, EACH
31 GOVERNMENTAL ENTITY AND CRITICAL INFRASTRUCTURE SERVICE PROVIDER IN THIS
32 STATE SHALL REMOVE ANY ~~[TECHNOLOGY]~~ [EQUIPMENT] THAT THE CORPORATION
33 COMMISSION INCLUDES ON THE PROHIBITED ~~[TECHNOLOGIES]~~ [EQUIPMENT] LIST
34 PURSUANT TO SUBSECTION F OF THIS SECTION.

35 H. A GOVERNMENTAL ENTITY OR CRITICAL INFRASTRUCTURE SERVICE
36 PROVIDER IN THIS STATE MAY CONTINUE TO PURCHASE AND USE ANY PROHIBITED
37 ~~[TECHNOLOGY]~~ [EQUIPMENT] PURSUANT TO THIS SECTION IF ALL OF THE FOLLOWING
38 APPLY:

39 1. THERE ARE NO OTHER REASONABLE PROVIDERS OF THE PROHIBITED
40 ~~[TECHNOLOGY]~~ [EQUIPMENT].

41 2. THE PURCHASE OR USE OF THE PROHIBITED ~~[TECHNOLOGY]~~ [EQUIPMENT]
42 IS PREAPPROVED BY THE CORPORATION COMMISSION.

43 3. NOT PURCHASING OR USING THE PROHIBITED ~~[TECHNOLOGY]~~ [EQUIPMENT]
44 WOULD POSE A GREATER THREAT TO THIS STATE THAN THE THREAT ASSOCIATED WITH
45 THE PROHIBITED ~~[TECHNOLOGY]~~ [EQUIPMENT].

1 [I. THIS SECTION DOES NOT REQUIRE THE CORPORATION COMMISSION TO
2 INSPECT ALL CRITICAL INFRASTRUCTURE AND EQUIPMENT OR CONDUCT CONTINUOUS
3 MONITORING OR UNIVERSAL PHYSICAL INSPECTIONS OF CRITICAL INFRASTRUCTURE
4 AND EQUIPMENT IN THIS STATE TO COMPLY WITH THIS SECTION. THE CORPORATION
5 COMMISSION SHALL IMPLEMENT A RISK-BASED OVERSIGHT PROGRAM THAT INCLUDES
6 ALL OF THE FOLLOWING:

7 1. A REQUIREMENT THAT EACH GOVERNMENTAL ENTITY AND CRITICAL
8 INFRASTRUCTURE SERVICE PROVIDER HAS COMPLETED THE SELF-CERTIFICATION THAT
9 IS REQUIRED BY SUBSECTION E OF THIS SECTION IN THE FORM OF A SWORN
10 STATEMENT UNDER PENALTY OF PERJURY.

11 2. A REQUIREMENT FOR A RANDOMIZED AUDIT THAT IS CONDUCTED ON A
12 STATISTICALLY SIGNIFICANT SAMPLE OF CRITICAL INFRASTRUCTURE SERVICE
13 PROVIDERS AND CRITICAL COMMUNICATIONS INFRASTRUCTURE PROVIDERS EACH YEAR.

14 3. A TARGETED AUDIT IF THE CORPORATION COMMISSION RECEIVES CREDIBLE
15 INTELLIGENCE, A COMPLAINT, A FEDERAL ADVISORY OR AN IDENTIFIED RISK
16 FACTOR.

17 4. A PROVISION THAT ALLOWS THE CORPORATION COMMISSION TO RELY ON
18 DETERMINATIONS, ADVISORIES OR PROHIBITIONS THAT ARE ISSUED BY A FEDERAL
19 AGENCY THAT HAS JURISDICTION OVER NATIONAL SECURITY OR COMMUNICATIONS
20 EQUIPMENT AND CYBERSECURITY IN THIS COUNTRY.

21 5. A PROVISION FOR SAFE HARBOR PROTECTIONS FOR CRITICAL
22 INFRASTRUCTURE SERVICE PROVIDERS AND CRITICAL COMMUNICATIONS
23 INFRASTRUCTURE PROVIDERS THAT REASONABLY RELY ON MANUFACTURER
24 CERTIFICATIONS AND SUPPLY-CHAIN DISCLOSURES IF THERE IS NOT EVIDENCE OF
25 WILFUL MISREPRESENTATION.]

26 ~~[I.]~~ [J.] FOR THE PURPOSES OF THIS SECTION:

27 1. "CHINESE COMPANY":

28 (a) MEANS ANY COMPANY, OTHER THAN A UNITED STATES PERSON OR UNITED
29 STATES SUBSIDIARY AS DEFINED IN 15 CODE OF FEDERAL REGULATIONS SECTION
30 772.1, THAT IS ANY OF THE FOLLOWING:

31 (i) DOMICILED, INCORPORATED, ISSUED OR LISTED IN THE PEOPLE'S
32 REPUBLIC OF CHINA.

33 (ii) HEADQUARTERED IN THE PEOPLE'S REPUBLIC OF CHINA.

34 (iii) HAS ITS PRINCIPAL PLACE OF BUSINESS IN THE PEOPLE'S REPUBLIC
35 OF CHINA.

36 (iv) CONTROLLED BY THE GOVERNMENT OF THE PEOPLE'S REPUBLIC OF
37 CHINA, THE CHINESE COMMUNIST PARTY OR THE CHINESE MILITARY, OR ANY
38 INSTRUMENTALITY THEREOF, INCLUDING THE STATE-OWNED ASSETS SUPERVISION AND
39 ADMINISTRATION COMMISSION OF THE STATE COUNCIL OR THE NATIONAL SOCIAL
40 SECURITY FUND.

41 (v) MAJORITY-OWNED BY AN ENTITY CONTROLLED BY THE GOVERNMENT OF THE
42 PEOPLE'S REPUBLIC OF CHINA, THE CHINESE COMMUNIST PARTY OR THE CHINESE
43 MILITARY, OR ANY INSTRUMENTALITY THEREOF, INCLUDING THE STATE-OWNED ASSETS
44 SUPERVISION AND ADMINISTRATION COMMISSION OF THE STATE COUNCIL OR THE
45 NATIONAL SOCIAL SECURITY FUND.

(b) DOES NOT INCLUDE A PARENT, SUBSIDIARY OR AFFILIATE COMPANY OF AN ENTITY PRESCRIBED IN SUBDIVISION (a) OF THIS PARAGRAPH IF THE PARENT, SUBSIDIARY OR AFFILIATE COMPANY DOES NOT MEET THE CRITERIA LISTED IN SUBDIVISION (a) OF THIS PARAGRAPH AND DOES NOT RECOGNIZE MORE THAN FIFTY PERCENT OF THE PARENT'S, SUBSIDIARY'S OR AFFILIATE COMPANY'S TOTAL ANNUAL GLOBAL REVENUE FROM CHINA AND HONG KONG COMBINED.

2. "CRITICAL COMMUNICATIONS INFRASTRUCTURE" MEANS ALL PHYSICAL BROADBAND INFRASTRUCTURE AND EQUIPMENT THAT SUPPORTS THE TRANSMISSION OF INFORMATION AND THAT ALLOWS THE USER TO ENGAGE IN COMMUNICATIONS, INCLUDING SERVICE PROVIDED DIRECTLY TO THE PUBLIC.

3. "CRITICAL INFRASTRUCTURE" MEANS INFRASTRUCTURE THAT IS OWNED OR OPERATED BY THIS STATE, A POLITICAL SUBDIVISION OF THIS STATE OR A PUBLICLY REGULATED UTILITY AND THAT IS ANY OF THE FOLLOWING:

(a) A GAS AND OIL PRODUCTION, STORAGE OR DELIVERY SYSTEM.

(b) A WATER SUPPLY REFINEMENT, STORAGE OR DELIVERY SYSTEM.

(c) AN ELECTRICAL POWER DELIVERY SYSTEM.

(d) A TELECOMMUNICATIONS NETWORK.

(e) A TRANSPORTATION SYSTEM AND SERVICE~~[, NOT INCLUDING PASSENGER VEHICLES]~~.

(f) A PERSONAL DATA STORAGE SYSTEM, INCLUDING CYBERSECURITY.

(g) AN EMERGENCY SERVICE.

4. "DOMICILED" MEANS LOCATED IN A COUNTRY WHERE EITHER THE COMPANY IS REGISTERED, THE COMPANY'S AFFAIRS ARE PRIMARILY COMPLETED OR THE MAJORITY OF THE COMPANY'S OWNERSHIP SHARES ARE HELD.

5. "SCHOOL BUS INFRACTION DETECTION SYSTEM" MEANS AN AUTOMATED SYSTEM INSTALLED ON A SCHOOL BUS THAT CONSISTS OF CAMERAS, SENSORS AND SOFTWARE DESIGNED TO DETECT, RECORD AND DOCUMENT TRAFFIC VIOLATIONS, INCLUDING ILLEGALLY PASSING THE BUS WHEN ITS STOP ARM IS EXTENDED AND WARNING LIGHTS ARE ACTIVATED, TO ENHANCE STUDENT SAFETY AND ENFORCE COMPLIANCE WITH TRAFFIC LAWS.

Sec. 2. Title 44, Arizona Revised Statutes, is amended by adding chapter 42, to read:

CHAPTER 42

CRITICAL INFRASTRUCTURE

ARTICLE 1. PROHIBITED AGREEMENTS

44-8051. Definition of critical infrastructure

IN THIS CHAPTER, UNLESS THE CONTEXT OTHERWISE REQUIRES, "CRITICAL INFRASTRUCTURE" MEANS INFRASTRUCTURE THAT IS OWNED OR OPERATED BY THIS STATE, A POLITICAL SUBDIVISION OF THIS STATE OR A PUBLICLY REGULATED UTILITY AND THAT IS ANY OF THE FOLLOWING:

1. A GAS AND OIL PRODUCTION, STORAGE OR DELIVERY SYSTEM.

2. A WATER SUPPLY REFINEMENT, STORAGE OR DELIVERY SYSTEM.

3. AN ELECTRICAL POWER DELIVERY SYSTEM.

4. A TELECOMMUNICATIONS NETWORK.

1 5. A TRANSPORTATION SYSTEM AND SERVICE~~[. NOT INCLUDING PASSENGER~~
2 ~~VEHICLES]~~.

3 6. A PERSONAL DATA STORAGE SYSTEM, INCLUDING CYBERSECURITY.

4 7. AN EMERGENCY SERVICE.

5 44-8052. Critical infrastructure; prohibited agreements and
6 contracts; exceptions; secure and dedicated
7 communications channel

8 A. EXCEPT AS PROVIDED IN SUBSECTION B OF THIS SECTION, A
9 GOVERNMENTAL ENTITY OR A PUBLICLY REGULATED UTILITY IN THIS STATE MAY NOT
10 ENTER INTO AN AGREEMENT OR CONTRACT INVOLVING CRITICAL INFRASTRUCTURE IN
11 THIS STATE WITH THE PEOPLE'S REPUBLIC OF CHINA IF UNDER THE AGREEMENT OR
12 CONTRACT THE PEOPLE'S REPUBLIC OF CHINA, DIRECTLY OR REMOTELY, WOULD BE
13 ABLE TO ACCESS OR CONTROL CRITICAL INFRASTRUCTURE IN THIS STATE.

14 B. A GOVERNMENTAL ENTITY OR A PUBLICLY REGULATED UTILITY IN THIS
15 STATE MAY ENTER INTO AN AGREEMENT OR CONTRACT INVOLVING CRITICAL
16 INFRASTRUCTURE IN THIS STATE WITH THE PEOPLE'S REPUBLIC OF CHINA IF ANY OF
17 THE FOLLOWING APPLIES:

18 1. NO OTHER REASONABLE OPTION EXISTS FOR ADDRESSING A NEED THAT IS
19 RELEVANT TO CRITICAL INFRASTRUCTURE IN THIS STATE.

20 2. THE AGREEMENT OR CONTRACT IS ~~[PREAPPROVED]~~ [APPROVED] BY THE
21 CORPORATION COMMISSION.

22 3. NOT ENTERING INTO THE AGREEMENT OR CONTRACT WOULD POSE A GREATER
23 THREAT TO THIS STATE THAN THE THREAT ASSOCIATED WITH ENTERING INTO THE
24 AGREEMENT OR CONTRACT.

25 C. THE ~~[CORPORATION COMMISSION]~~ [DEPARTMENT OF EMERGENCY AND
26 MILITARY AFFAIRS] SHALL ESTABLISH A SECURE AND DEDICATED COMMUNICATIONS
27 CHANNEL FOR CRITICAL INFRASTRUCTURE PROVIDERS AND MILITARY INSTALLATIONS
28 ACROSS THIS STATE TO CONNECT WITH THE ~~[CORPORATION COMMISSION]~~ [DEPARTMENT
29 OF EMERGENCY AND MILITARY AFFAIRS] AND THE OFFICE OF THE GOVERNOR IN THE
30 EVENT OF AN EMERGENCY THAT DAMAGES CRITICAL COMMUNICATIONS INFRASTRUCTURE.
31 FOR THE PURPOSES OF THIS SUBSECTION, "CRITICAL COMMUNICATIONS
32 INFRASTRUCTURE" HAS THE SAME MEANING PRESCRIBED IN SECTION 18-105.

33 Sec. 3. Short title

34 This act may be cited as the "Arizona Critical Infrastructure
35 Protection Act".

36 Enroll and engross to conform

37 Amend title to conform

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